

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MAVL CAPITAL INC., IAM & AL GROUP INC., AND MAXIM
OSTROVSKIY, *Complainants*

v.

MARINE TRANSPORT LOGISTICS, INC. AND DMITRY ALPER,
Respondents.

DOCKET NO. 16-16

Served: February 5, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER DENYING COMPLAINANTS' MOTION FOR DISCOVERY RELATED SANCTIONS

On January 27, 2021, Complainants were scheduled to file their brief, proposed findings of fact, and appendix. Instead, Complainants filed a motion for discovery related sanctions and other relief ("Discovery Sanctions Motion"), asserting that Respondent MTL failed to comply with the remand scheduling order.

On February 2, 2021, Respondent MTL filed an opposition to the motion seeking discovery sanctions ("Discovery Sanctions Opposition"), asserting that Complainants' counsel failed to meaningfully confer with him and that the motion is misleading because it omits relevant exhibits.

Complainants request the following sanctions:

- a. Directing that it be established as a matter of fact for the purposes of this litigation that MARINE TRANSPORT LOGISTICS, INC. ("MTL") never provided any MTL itemized invoices for warehouse storage to Complainants for storage of the Mercedes and Porsche which are the subject of this action (with the sole exception being with regard to the Mercedes which was a copy of a final Invoice No.: 24261 for storage of the Mercedes for the period of May 4, 2013 to June 5, 2013 in the amount of \$150.00 [document Bates No.: DEF0271 identified below]);
- b. Directing that it be established as a matter of fact for the purposes of this litigation that MTL unlawfully listed Car Express & Import Inc. as the exporter and U.S. Principal Party in Interest ("USPPI") for the export of the Mercedes in shipping documents prepared by MTL, including but not limited to invoices, MTL House Bills of Lading, and a Shipper's Export Declaration filed by MTL with the U.S. Customs and Border Protection;

- c. Directing that it be established as a matter of fact for the purposes of this litigation that MTL having listed Car Express & Import Inc. as the exporter and USPPI for the export of the Mercedes is proof of and establishes that the unjust and unreasonable acts of MTL complained of herein occurred on a normal, customary, and continuous basis, as required under the section 41102(c) interpretive rule. 46 C.F.R. § 545.4; Final Rule, 83 Fed. Reg. at 64479;
- d. Prohibiting MTL from supporting, with documentary evidence (via an Order of Preclusion), its defenses to complainants' claims that, at the very least, MTL misdelivered complainants' Mercedes and Porsche to Dubai, and at the worst, unlawfully exercised a maritime lien on the cars for ocean freight and other charges unrelated to the export of the Mercedes and Porsche, in violation of 41102(c) of the Shipping Act;
- e. Precluding MTL from introducing into evidence an email from MTL's counsel, dated December 29, 2020 and the attachment to said email "Invoices to MAVL (Mercedes), 16-16.pdf" which contains seven (7) Invoices, numbered: 18091, 20622, 23343, 23344, 24261, 25551, and 27830";
- f. Precluding MTL from introducing into evidence two emails from MTL's counsel, dated January 11, 2021 and January 13, 2021 together with the attachments to said emails;
- g. Striking MTL's Answer to the Complaint, and directing complainants to file a Motion for a Default Judgment against MTL;
- h. Revising the briefing schedule set forth in the December 10, 2020 Order for the filing of the parties' briefs on remand, in order [to] allow for time to file briefs on remand which does not conflict with the Presiding Officer's recent briefing schedule for conduct of discovery which involves the same counsel herein and who represent the parties in the matter of *Nnabugwu Chinedu Andrew et al. v. Marine Transport Logistics Inc., et al.*, (FMC Docket No.: 20-12); and
- i. Staying further proceedings with regard to complainants' claims against respondent Dmitry Alper.

Discovery Sanctions Motion at 28-29.

The parties were instructed in the remand scheduling order that "[a]ny additional discovery requests should be identified with particularity in the parties' briefs" and that "[a]ll requests for extensions will be reviewed for good cause, even if the parties agree on the requested extension." Remand Scheduling Order at 2.

The parties have exchanged discovery in related proceedings and the 315 pages of exhibits to the discovery sanctions motion demonstrate that a significant number of documents have been exchanged in this proceeding. Moreover, the motion primarily raises factual disagreements, for example, whether there is sufficient proof that documents were provided to Complainants and whether documents and statements are credible. Evidence, however, is not

“non-responsive” just because a party does not agree with it. These issues are more appropriately argued in the briefs, to the extent that they are relevant. Finally, the relief sought is excessive and unreasonable. Therefore, the discovery sanctions motion is denied.

The parties are provided additional time to file their briefs. At Complainants’ request, this schedule is designed to avoid conflict with the briefing schedule in FMC Docket No. 20-12. However, if extensions or changes to the schedule are requested in either proceeding, such consideration will not be provided and the parties will be expected to proceed expeditiously in both cases. To expedite the process, the parties should focus their arguments on relevant legal and factual issues. The parties are required to follow the briefing requirements set out in previous orders.

If a settlement is reached, a motion requesting approval of the settlement, with a copy of the settlement agreement, should be filed. Pending settlement discussions will not be a basis to extend the briefing schedule or stay the proceeding.

For the reasons stated above, it is hereby **ORDERED** that Complainants’ motion for discovery related sanctions be **DENIED**. The parties shall file their briefs by the following deadlines:

February 22, 2021	Complainants file brief, proposed findings of fact, and appendix.
March 22, 2021	Respondents file opposition brief, proposed findings of fact and responses to Complainants’ proposed findings of fact, and appendix.
April 5, 2021	Complainants file reply brief and responses to Respondents’ proposed findings of fact.



Erin M. Wirth
Chief Administrative Law Judge